

Textiles remained one of the most important items of export from India during the period in question. In this year 2021-22 (Apr.-Sep.), the most important item exported from India is clothes (Readymade garments of all textile materials Rs. 108492 crore) in the given options. But in 2024, India's top export partner is United States and top exporting product is petroleum products (as per export-import data).

22. Which of the following partly defines the micro-enterprise in India?

- (a) Investment in Plant and Machinery or equipment not more than ₹ 1 crore
- (b) Annual turnover not more than ₹ 15 crore
- (c) Investment in Plant and Machinery not more than ₹1.5 crore
- (d) Annual turnover of more than ₹ 5 crore
- (e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (a)

In the year 2006, M.S.M.E. on May 13, 2020, 14 years after the (MSME) Development Act came into existence, the amendment in definition of MSME was announced in Atmanirbhar Bharat Package. According to the Micro, Small and Medium Enterprises Act, 2020, a micro enterprise is one in which the investment in plant and machinery or equipment does not exceed Rs. 1 crore and has an annual turnover of not more than Rs. 5 crore.

New Investment	Annual Turnover	Manufac-turing	Old Investment	Service
Micro enterprise	5 crore rupees	1 crore rupees	25 lakh rupees	10 lakh rupees
Small enterprise	50 crore rupees	10 crore rupees	5 crore rupees	2 crore rupees
Medium enterprise	250 crore rupees	50 crore rupees	10 crore rupees	5 crore rupees

Note - The old investment is as per MSME Act, 2006.

23. Which one of the following is not the micro-finance institution in India?

- (a) Bihar Development Trust
- (b) Community Service Trust, Tamil Nadu
- (c) Centre for Development, Bihar
- (d) Atal Pension Yojana
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (d)

A Microfinance Institution (MFI) is a financial services such as loans, savings and insurance to low-income individuals or groups who typically lack access to traditional banking services. Bihar Development Trust, Community Service Trust Tamil Nadu, Centre for development, Bihar are the given microfinance institution whereas Atal Pension Yojana is a Scheme of government of India.

Fiscal Policy & Revenue

1. Which industry employs maximum number of people in India?

- (a) jute industry
- (b) iron and steel industry
- (c) textile industry
- (d) sugar industry

39th B.P.S.C. (Pre) 1994

Ans. (c)

The textile industry is one of the oldest and firmly established among our major industries. According to the Economic Survey 2021-22, in the last decade, this industry has provided direct and indirect employment to about 105 million people of the country. As per Economic Survey 2022-23, Textile industry is one of the country's most significant source of employment generation, with an estimated 4.5 crore people directly engaged in this sector. Recently on 7 Oct., 2024 World Cotton day was celebrated. Theme : "Megatrends Shopping Cotton Textile Value Chain" Cotton Economy in India provides livelihood to six million cotton farmers directly and another employment to 45 million people engaged directly/indirectly in various other activities in the cotton value chain.

2. The oldest large scale industry in India is-

- (a) iron and steel industry
- (b) jute industry
- (c) textile industry
- (d) paper industry

41st B.P.S.C. (Pre) 1996

Ans. (c)

The textile industry of India has been mainly based on cotton. Textile industry is the oldest and largest industry in India. According to the Economic Survey, 2021-22, this sector has provided direct and indirect employment to 105 million people in the last decade. According to Invest India, the textile and apparel industry in India is the 2nd largest employer in the country, it is providing direct employment to 45 million people.

3. In which year, was 'zero-based budgeting' started in India?

- (a) 1983
- (b) 1991

(c) 2000

(d) 1960

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (a)

Zero-based budgeting (ZBB) is a method of budgeting in which all expenses must be justified for each new period. The process of Zero-based budgeting starts from a zero base and every function within an organization is analyzed for its needs and costs. In India, zero based budgeting was adopted by the Department of Science and Technology in 1983 and in 1986, Indian government implemented zero-based budgeting as a system for determining expenditure budget.

4. When was gender budgeting initiated in India?

- (a) Union Budget, 2005-06
- (b) Union Budget, 2006-07
- (c) Union Budget, 2008-09
- (d) Union Budget, 2004-05
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The gender budgeting was first introduced in India in the Union Budget 2005-06. Gender budgeting is concerned with gender sensitive formulation of programmes/schemes, allocation of resources, implementation and execution, audit and impact assessment and follow-up corrective action to address gender disparities. In 2005-06, the gender budgeting constituted 4.8% of the total budget outlay, but over the years, its proportion in the budget has close to stagnated, hovering around 5%.

5. What is the Core Industry in India?

- (a) electricity
- (b) coal
- (c) Petroleum products
- (d) all of the above

40th B.P.S.C. (Pre) 1995

Ans. (d)

Eight industries (coal, crude oil, natural gas, petroleum refining products, fertilizers, steel, cement and electricity) are called core industries.

6. The combined weightage of 8 core industries in the IIP is

- (a) 40.25%
- (b) 40.26%
- (c) 40.27%
- (d) 40.28%
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (c)

The Eight Core Industries Comprise 40.27 percent of the weight of items included in the Index of Industrial Production (IIP). Eight Core Industries are—Coal, Crude Oil, Natural Gas, Refinery products, Fertilizers, Steel, Cement and Electricity. As per the current weightage of eight core industries the highest weightage is given to Petroleum and Refinery Products (28.04%).

7. The base year of Index of Core Industries (ICI) has recently been changed to

- (a) 2010-11
- (b) 2011-12
- (c) 2012-13
- (d) 2014-15
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

The Base Year of the Index of Eight Core Industries has been from the year 2004-05 to 2011-12. ICI measures combined and individual performance of production of eight core industries viz. Coal, Crude Oil, Natural Gas, Refinery Products, Fertilizers, Steel, Cement and Electricity.

8. Which one of the following is not a tool of fiscal policy?

- (a) taxation
- (b) public expenditure
- (c) interest rate
- (d) Public debt

47th B.P.S.C. (Pre) 2005

Ans. (c)

In the above options taxation, public expenditure and public debt are the tools of Fiscal Policy, while interest rate is the tool of Monetary Policy. Fiscal policy is related to the government, while monetary policy is implemented by the Reserve Bank.

9. How many times the Reserve Bank of India reviews the Monetary Policy in a financial year?

- (a) Bimonthly
- (b) Quarterly
- (c) Half-yearly
- (d) Yearly
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (a)

Reserve Bank of India review the Monetary Policy once in every two months (Bimonthly) ie. 6 times a year. Monetary Policy is an economic policy that manages the size and growth rate of the money supply in an economy.

10. Which one of the following was not included in the intended objectives of the Union Budget, 2017-18?

- (a) Transform India
- (b) Clean India
- (c) Educate India
- (d) Energise India

(e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (c)

The Union Budget 2017-18 was announced by the then Finance Minister Arun Jaitley in the Parliament on 1st February, 2017. In Union Budget 2017-18, the agenda or intended objectives for the year 2017-18 was : 'Transform, Energise and Clean India : TEC India. TEC India seeks to :

- Transform the quality of governance and quality of life of our people;
- Energise various sections of society, especially the youth and the vulnerable, and enable them to unleash their true potential; and
- Clean the country from the evils of corruption, black money and non-transparent political funding.

Budget Priorities (2024-25)

The Finance Minister said, for pursuit of 'Viksit Bharat', the budget envisages sustained efforts on the following 9 priorities for generating ample opportunities for all.

1. Productivity and resilience in Agriculture
2. Employment & Skilling
3. Inclusive Human Resource Development and Social Justice
4. Manufacturing & Services
5. Urban Development
6. Energy Security
7. Infrastructure
8. Innovation, Research & Development and
9. Next Generation Reforms

The seven priorities, termed Saptarishi adopted in the Union Budget 2023-24 to guide the towards 'Amrit Kaal'. There are inclusive Development, Reaching the last mile, Infrastructure & Investment, Green Growth Unleashing the potential, Youth power and Financial sector.

In the Union Budget 2024-25 for infrastructure development capital expenditure to be 11,11,111 crore which is 3.4% of country is GDP, Rs. 1.5 lakh crore interest free loans to support infrastructure investment by state governments. Phase IV of PMGSY to provide all weather connectivity to 25000 rural habitations.

11. Which of the following is not included in the priorities of India Budget 2022-23?

- (a) PM Gati Shakti
- (b) Inclusive Development
- (c) Productivity Enhancement and Investment, Sunrise Opportunities, Energy Transition, and Climate Action

(d) Disinvestment

(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (d)

According to the Union Budget Estimates, 2022-23 in the Budget, four priorities were set to encourage development, which are as follows

- (c) P.M.Gati Shakti
- (d) Inclusive Growth
- (a) Productivity promotion and investment, emerging opportunities, energy solstice and climate action.
- (b) Financially of investment

12. Deficit financing policy is the technique of

- (a) monetary policy
- (b) fiscal policy
- (c) taxation policy
- (d) foreign trade policy

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (b)

Deficit financing policy is the fiscal policy.

Deficit financing is the budgeting situation where expenditure is higher than the revenue. It is a practice adopted for financing the excess expenditure with outside resources. The expenditure revenue gap is financed by either printing of currency or through borrowing.

13. The controlling authority of government expenditure is :

- (a) The Reserve Bank of India
- (b) The Planning Commission
- (c) The Ministry of Finance
- (d) The Finance Commission

56th to 59th B.P.S.C. (Pre) 2015

Ans. (c)

The Ministry of Finance is responsible for the administration of finances of the Central government. It is concerned with all economic and financial matters affecting the country as a whole including mobilization of resources for development and other purposes. It regulates expenditure of the government including transfer of resources to the States. The Ministry comprises of the five departments namely : (i) Economic Affairs; (ii) Expenditure; (iii) Revenue; (iv) Investment and Public Asset Management; (v) Financial Services.

14. Interest payment is an item of :

- (a) Revenue expenditure
- (b) Capital expenditure
- (c) Plan expenditure
- (d) None of these

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

Revenue expenditure is that part of government expenditure that does not result in the creation of assets. Payment of salaries and allowances, pensions, subsidies, interest and administrative expenses fall in this category as revenue expenditure examples. Interest payment is the most important and largest item of revenue expenditure and total expenditure of the Union Government. Budget estimate of interest payments in 2022-23 is 15.59% higher than the revised estimate of 2021-22. As per Union Budget 2024-25, Revenue expenditure is expected to increase by 6.2%. Over the Actuals of 2023-24 to Rs. 34,94,036 crore.

15. As per the Union Budget, 2021, what percentage of the GDP is estimated to be the fiscal in 2021-22?

- (a) 8.8% (b) 7.8%
- (c) 7.6% (d) 6.8%
- (e) None of the above / more than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (d)

As per the Union Budget 2021-22, the fiscal deficit for the year 2021-22 was estimated at 6.8 per cent of the Gross Domestic Product (GDP). According to the budget 2022-23, it is estimated at 6.9 percent in the revised estimate for the year 2021-22, while for the year 2022-23 it is 6.4 percent is estimated. In the Union Budget 2024-25, the fiscal deficit is targetted at 4.9% of GDP which is lower than the actual fiscal deficit of 5.6% of GDP in 2023-24.

16. With reference to the Finance Commission of India, on the following statements-

Consider-

1. Finance Commission is a statutory body.
2. Finance Commission established under Article 280 of the Constitution.
3. The recommendations made by the Finance Commission are only consultants.
4. The first Finance Commission was set up in 1950.

Which of the above statements are correct?

- (a) 1 and 4 only (b) 3 and 4 only
- (c) 2 and 3 only (d) 2 and 4 only
- (e) None of the above/More than one of the above

67th B.P.S.C. (Pre) 2021

Ans. (c)

After independence, the Finance Commission was arranged to establish harmony between the center and the states in the federal system of India and for the fair distribution of resources among them. Article 280 of the Constitution

provides for setting up of the Finance Commission. Under Clause (1) of Article 280, provision was made that a Finance Commission would be constituted by the President within 2 years of the coming into force of the Constitution and thereafter every 5 years or if necessary before that the Finance Commission would be established. The main purpose of setting up the Finance Commission is to give necessary suggestions for financial adjustments between the Union and the States according to the changing circumstances. In the year 1951, the first finance commission was constituted under the chairmanship of K.C. Niyogi. On November 27, 2017. The 15th Finance Commission was constituted under the chairmanship of N.K. Singh.

17. What is the fiscal deficit target of India for the financial year 2016-17?

- (a) 3.9% of GDP
- (b) 3.5% of GDP
- (c) 4.9% of GDP
- (d) 4.5% of GDP
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

In Union Budget 2016-17, the fiscal deficit target for the financial year 2016-17 was at 3.5% of GDP. The government's fiscal deficit target in the Union Budget 2022-23 is estimated at Rs. 1661196 crore or 6.4% of the GDP. In the Union Budget 2024-25, the fiscal deficit is estimated to be 4.9% of GDP.

18. Fiscal deficit is :

- (a) Total expenditure - Total receipts
- (b) Revenue expenditure - Revenue receipts
- (c) Capital expenditure - Capital receipts - Market borrowings
- (d) Sum of budget deficit and Govt's market borrowings and liabilities

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

The excess of Government's total expenditure (both revenue and capital) over total receipts (both revenue and capital) constitutes budget deficit. From the 1997-98 Budget, the practice of showing budget deficit has been discontinued in India.

The excess of Government's revenue expenditure over revenue receipts constitutes revenue deficit.

The difference between the total expenditure of Government by way of revenue, capital and loans net of repayments on the one hand and revenue receipts of Government and capital receipts which are not in the nature of borrowing but which accrue to Government on the other, constitutes gross fiscal deficit.

Gross primary deficit is gross fiscal deficit reduced by the gross interest payments.

Note : In the Budget documents 'gross fiscal deficit' and 'gross primary deficit' have been referred to in abbreviated form 'fiscal deficit' and 'primary deficit', respectively.

In short,

Budget deficit = Total expenditure – Total receipts

Revenue deficit = Revenue expenditure – Revenue receipts

Fiscal deficit = Total expenditure – Total income / revenue
(Revenue receipts + Non-debt creating capital receipt)

= Total expenditure – [Total receipts less borrowings (debt and other liabilities)]

= Budget deficit + Internal and external borrowings

Primary deficit = Fiscal deficit – Interest payments

19. If interest payment is subtracted from gross fiscal deficit, the remainder will be

- (a) revenue deficit
- (b) capital deficit
- (c) net fiscal deficit
- (d) monetized deficit
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (e)

If interest payment are subtracted from the gross fiscal deficit, the remainder will represent the gross primary deficit. The primary deficit is often considered a key indicator of the government's fiscal position—

Primary Deficit = Gross Fiscal Deficit – Interest Payment

20. Fiscal deficit of the Government of India is equal to which of the following?

- (a) Debt-creating capital receipts
- (b) Non-debt capital receipts
- (c) Debt and non-debt capital receipts
- (d) Capital receipts less revenue receipts
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (b)

Gross fiscal deficit (GFD) is the difference between aggregate disbursements net of debt repayments and recovery of loans and revenue receipts and non-debt capital receipts.

21. Planning Commission a-

- (a) Ministry.
- (b) It is a government department.
- (c) Consultancy Society.
- (d) Is an autonomous corporation.

39th B.P.S.C. (Pre) 1994

Ans. (c)

There is no constitutional provision regarding Planning Commission in India. The Planning Commission was established by a resolution of the Union Cabinet, which was passed by the Cabinet on March 15, 1950. The Planning Commission is a non- constitutional, advisory, consultative body. Presently (from January 1, 2015) the Planning Commission has been replaced by the NITI Aayog (NITI).

22. NITI Aayog was established in 2015 in place of Planning Commission which was dissolved in

- (a) 2014
- (b) 2015
- (c) 2016
- (d) 2013
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

See the explanation of the above question.

23. What is the nature of Planning Commission?

- (a) Government Department
- (b) Consultancy Society
- (c) Autonomous Corporation
- (d) a ministry

43rd B.P.S.C. (Pre) 1999

41st B.P.S.C. (Pre) 1996

Ans. (b)

See the above question's explanation.

24. NITI Aayog's attached autonomous body to actively look into the progress in implementation of programmes and initiatives of the GOI, is known as

- (a) DMEO
- (b) DEMO
- (c) DEPO
- (d) DMPO
- (e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (a)

The Development Monitoring and Evaluation Office (DMEO) is an attached office of NITI Ayog Constituted in September, 2015 by merging the erstwhile Programme Evaluation Office (PEO) and the Independent Evaluation Office (IEO). DMEO Works to fulfill the monitoring and evaluation. DMEO has been mandated to actively monitor and evaluate the implementation of schemes, programs and initiatives of Government of India.

25. Revenue deficit in India implies that :

- (a) the Indian Government needs to borrow in order to finance its expenses which will create capital assets
- (b) the Indian Government needs to borrow in order to finance its expenses which do not create capital assets
- (c) the Indian Government needs to borrow from the Reserve Bank of India against government securities
- (d) the Indian Government needs to borrow from international financial institutions
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (b)

Revenue deficit arises when the government's revenue expenditure exceeds the total revenue receipts. This represents that the government's own earnings are not sufficient to meet the day-to-day operations of its departments. Revenue deficit in India implies that the Indian Government needs to borrow in order to finance its expenses which do not create capital assets.

26. Which of the following investors/agencies can purchase Government of India securities?

I. The Reserve Bank of India

II. Individuals

III. Financial Institution

Select the correct answer using the code given below.

- (a) I only
- (b) I, II and III
- (c) I and II only
- (d) II and III only
- (e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (b)

Government securities are available for purchase by various entities including Reserve Bank of India, Financial Institution, bank, Individuals Primary dealers, Foreign investors etc.

27. Effective revenue deficit was introduced in which union budget?

- (a) 2010-11
- (b) 2011-12

(c) 2009-10

(d) 2012-13

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

Effective revenue deficit is the difference between revenue deficit and grants given for creation of capital assets. The concept of effective revenue deficit has been introduced from the Union Budget for the financial year 2011-12. The main objective of introducing this concept of deficit is to express structural imbalances. It was included under the Fiscal Responsibility and Budget Management Act, 2003 from the budget of the financial year 2012-13. Effective revenue deficit = revenue deficit - grants related to creation of capital assets.

28. Effective Revenue deficit was introduced in the Union Budget of :

- (a) 2010-11
- (b) 2011-12
- (c) 2009-10
- (d) 2012-13

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

Effective revenue deficit is defined as the difference between revenue deficit and grants for creation of capital assets. Effective revenue deficit signifies that amount of capital receipts that are being used for actual consumption expenditure of the Government. The concept of effective revenue deficit has been initiated from Union Budget for the financial year 2011-12. The main objective to introduce this type of deficit concept is to denote constructive imbalances of revenue account. It was included in the Fiscal Responsibility and Budget Management Act, 2003 through an amendment in 2012. In the Union Budget 2024-25, the effective revenue deficit is estimated at 0.6 percent of GDP.

29. Vote on Account is meant for :

- (a) Vote on the report of CAG
- (b) To meet unforeseen expenditure
- (c) Appropriating funds pending passing of budget
- (d) Budget
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (c)

The Vote on Account is the special provision given to the government to obtain the vote of Parliament to withdraw money (as grant in advance) to meet short-term expenditure needs, from the Consolidated Fund of India, when the budget for the new financial year is not released or the elections are underway, and the caretaker government is in place.

30. In which sector has the maximum total expenditure of the Central Government in India been done in the last years?

- (a) Security (b) development
(c) Administration (d) Grant-in-Aid

40th B.P.S.C. (Pre) 1995

Ans. (b)

Option (b) was the correct answer during the question period. As per the Budget 2024-25, the top items of central government expenditure are - interest payment 19%, states' share in taxes and duties 21%, - central sector schemes - 16%.

31. Ad hoc Treasury bill system of meeting budget deficit in India was abolished on :

- (a) 1st April, 1992
(b) 1st April, 1994
(c) 31st March, 1996
(d) 31st March, 1997

56th to 59th B.P.S.C. (Pre) 2015

Ans. (d)

The Ad hoc Treasury Bills emerged as a mode of financing Central Government's deficit in the mid-1950s. It was initiated as an administrative arrangement between the Central Government and the Reserve Bank of India. It was issued on the name of RBI for the short term lending requirements of the Government. It directly becomes monetize because with the issuance of it, the assets of RBI increases and hence liabilities also increase. The system of ad hoc Treasury Bills to finance budget deficit was abolished on 31 March, 1997 (discontinued with effect from 1st April, 1997). The Union Budget for 1997-98 had announced the decision to introduce a new system called 'Ways and Means Advances (WMA)' in place of ad hoc T-Bills.

32. Consider the following important sources of tax revenue for the Central Government :

1. Corporation tax
2. Tax on income other than corporation tax
3. Customs
4. Union Excise Duties

Which of the following is the correct descending order in terms of gross tax revenue?

- (a) 1, 2, 4, 3 (b) 1, 2, 3, 4
(c) 3, 1, 2, 4 (d) 2, 3, 1, 4

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

As per the question period and at present, option (b) is the correct answer. At present the share of main sources of tax revenue in gross tax revenue is as follows :

Tax Revenue	Gross Tax Revenue (in crores)	
	2023-24 (Actual)	2024-25 (B.E.)
Corporation Tax	911055	1020000
Taxes on Income	1044726	1187000
Customs	233067	237745
Union Excise Duties	305330	319000
GST	957032	1061899

33. In some countries, GST is also known as

- (a) Sales Added Tax (b) Profit Added Tax
(c) Transport Added Tax (d) Value Added Tax
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (d)

GST (Goods and Services Tax) also known as Value Added Tax (VAT) in some countries. It has become a major source of revenue for governments around the world. On July 1, 2017, GST laws were implemented, replacing a complex web of central and state taxes.

34. What was the Tax-GDP ratio in the financial year 2021-22 in India?

- (a) 12.5% (b) 11.7%
(c) 11.5% (d) 10.9%
(e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre) 2021

Ans. (e)

According to the Union Budget Estimates, for the 2022-23 in India, "Tax-GDP ratio estimated at 9.9 percent in Budget Estimates 2021-22 the revised estimate is 10.8 percent in 2021-22 and 10.7 percent in the budget estimate 2022-23." As per Union Budget 2024-25 the tax to GDP ratio is estimated at 11.8 percent.

35. Which one of the following taxes is the largest source of revenue in India?

- (a) Income Tax
(b) Corporate Tax
(c) Union excise duties
(d) Custom duties

47th B.P.S.C. (Pre) 2005

Ans. (c)

As per the question year, Union excise duties was the largest source of revenue in India. According to the Budget estimates 2024-25 Income tax Goods and Service tax and Corporation tax are three largest sources of tax revenue respectively.

36. Which of the following is not a tax of the Central Government?

- (a) Income Tax (b) Land Revenue
(c) Custom Duty (d) Excise Duty

42nd B.P.S.C. (Pre) 1997-98

Ans. (b)

Of the above options, income tax, customs duty and excise duty are taxes of the central government, but land revenue is levied and collected by the state governments.

37. Which of the following Tax is levied by Union and collected and appropriated by States?

- (a) Stamp Duties (b) Passengers & Goods Tax
(c) Estate Duty (d) Taxes on Newspapers
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (a)

Among the given options, Stamp Duties (as are mentioned in the Union List of the Constitution) are levied by the Union and collected and appropriated by the States.

38. Which Committee recommended Interim Liquidity Adjustment Facility (ILAF)?

- (a) Verma Committee (b) Khan Committee
(c) Khusro Committee (d) Narasimham Committee
(e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (d)

Narasimham Committee recommended an Interim Liquidity Adjustment Facility (ILAF). Significantly, a LAF is a monetary policy tool used in India by the Reserve Bank of India (RBI).

39. Service tax was introduced in India on the recommendation of :

- (a) Kelkar Committee
(b) Raja J. Chelliah Committee
(c) Manmohan Singh Committee
(d) Yashwant Sinha Committee
(e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

The Service tax was introduced in India on 1 July, 1994 at the recommendation of Raja J. Chelliah Committee on tax reforms. The introduction of this levy in India can be termed a milestone in Indian tax history.

40. Which committee suggested the enactment of the Competition Act, 2002?

- (a) Vijay Kelkar Committee
(b) Rangarajan Committee
(c) S. V. S. Raghavan Committee
(d) More than one of the above
(e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (c)

The Competition Act, 2002 was enacted by the Parliament of India and governs the Indian Competition Law. The Act received presidential assent in 2003. It was the S.V.S. Raghavan Committee that suggested the enactment of the Competition Act, 2002.

41. MODVAT, which comes into effect from April 2001, replaces-

- (a) sales tax (b) customs
(c) state excise duty (d) central excise duty

43rd B.P.S.C. (Pre) 1999

Ans. (*)

On the recommendation of L.K. Jha Committee (1981), a revised system of **Value Added Tax** (VAT) was introduced in the budget of 1986-87 MODVAT (Modified Value Added Tax) was implemented. MODVAT was levied on the output of manufacturing sector i.e. industrial products. This is the Central Excise Duty, in which there was a provision for deduction of the tax paid by the producers on the intermediate inputs. After MODVAT, CENVAT was introduced from budget 2000-01 and VAT was implemented from April 1, 2005 in its sequel. Now the government has implemented Uniform Goods and Service Tax (GST) from July 1, 2017.

42. Modvat is related to :

- (a) Sales Tax
(b) Wealth Tax
(c) Income Tax
(d) Excise Duty

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

Modvat (Modified Value Added Tax) is related to Union excise duty. It was introduced with effect from March 1, 1986.

43. The transformation of taxes on domestic products into the VAT was first recommended by

- (a) Khusro Committee (b) Raja Chelliah Committee
(c) Kelkar Committee (d) Rangarajan Committee
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

The recommendation to transform taxes on domestic products into the VAT was first made by Raja Chelliah Committee in 1991. The Committee, Officially known as the Tax Reforms Committee, was appointed by the Indian Government in 1991 to review the existing tax system.

44. Tax in India was introduced in the year :

- (a) 1994-95 (b) 1996-97
(c) 1998-99 (d) 1991-92

56th to 59th B.P.S.C. (Pre) 2015

Ans. (a)

Service tax is an indirect tax. It was introduced in the financial year 1994-95 on the recommendation of Chelliah Committee. Service Tax has been replaced by the GST since 1 July, 2017.

45. In which budget, GST was proposed to be introduced from April 2010?

- (a) 2004-05 (b) 2006-07
(c) 2008-09 (d) 2010-11
(e) None of the above / More than one of the above

B.P.S.C. Project Manager Prelims 2021

Ans. (b)

The proposal to introduce a National level GST was first mooted in the Budget speech in the year 2006-07.

46. The biggest source of income of the Government of India is-

- (a) Railway (b) Excise duty
(c) Sales tax (d) Direct tax

39th B.P.S.C. (Pre) 1994

41st B.P.S.C. (Pre) 1996

Ans. (d)

Option (d) was the correct answer at the time of question as well as at present. According to the budget 2022-23, while the share of direct tax in the total budget expenditure is estimated at 51.49 percent and indirect tax at 48.51 percent, in terms of proportion to GDP, it is 5.5 percent and 5.5 percent, respectively. As per Union Budget 2023-24, it is estimated that direct and indirect taxes to contribute around 55% & 45% respectively.

47. Which is Such a tax which is levied by the Central Government but the income received from it, is divided between the center and the state?

- (a) Custom Duty
(b) Central Excise Duty
(c) Corporation Tax
(d) none of these

44th B.P.S.C. (Pre) 2000

Ans. (b)

The central excise duty levied by the central government was divided between the center and the states. The current situation is that based on the recommendation of the Tenth Finance Commission, the 80th Constitution (Amendment) Act was passed, on the basis of which all taxes of the Central Government are now divisible with the States.

48. Which of the following are two indirect taxes?

- (a) Sales tax and Income tax
(b) Income tax and wealth tax
(c) Sales tax and excise duty
(d) Income tax and Excise duty

45th B.P.S.C. (Pre) 2001-02

Ans. (c)

Income tax and property tax given in the above options are direct tax, while sales tax and excise duty are indirect tax.

49. When was the electronic filing of returns of tax collected at source scheme incorporated as per the Income-tax Act, 1961?

- (a) 2005 (b) 2015
(c) 2017 (d) 2003

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (a)

As per the income-tax act 1961, the electronic filing of returns of tax collected at source scheme incorporated in 2005. It is applicable to all deductors furnishing their TDS return in electronic form. The income tax Act, 1961 came into existence w.e.f. 1-4-1962.

50. The deregulation of interest rates of banks is based on the recommendation of

- (a) Chelliah Committee
(b) Dantawala Committee
(c) Narasimhan Committee
(d) none of these

43rd B.P.S.C. (Pre) 1999

Ans. (c)

The Narasimhan Committee (1991) identified the decline in the interest income of banks as one of the main reasons for the falling profitability of India's public sector banks. The shortfall in interest income was due to keeping a major portions of the total deposits in the form of **Statutory Liquidity Ratio** (SLR) and **Cash Reserve Ratio** (CRR) at relatively low interest rates. In addition, under social banking, a large proportion of total deposits (40% of total deposits) had to be given to the primary sector at a low rate of interest. Only 30% of the total deposits of the banks have been lent at the market rate of interest. In the above context, the Narasimhan Committee recommended reducing the SLR to 25% and reducing the CRR to 5% level, as well as providing freedom to bank to fix the minimum interest rate of lending the government accepted the above recommendation of the committee.

51. Bhandari Committee is related to :

- (a) Direct taxation
- (b) Indirect taxation
- (c) Agriculture credit
- (d) Regional rural banks' restructuring
- (e) None of the above/More than one of the above

67th B.P.S.C. (Re-Exam) (Pre)2021

Ans. (d)

Bhandari committee (1994) was constituted for Restructuring of Regional Rural Banks.

52. In which budget, the Commodity Transaction Tax (CTT) was introduced in the Budget of India?

- (a) 2013-14
- (b) 2012-13
- (c) 2014-15
- (d) 2017-18
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The **Commodity Transaction Tax** (CTT) was first introduced in the 2013-14 Union Budget. The CTT is levied on trades made on commodities exchanges. It is a tax payable to the Central Government and therefore classified as a regulatory charge. The CTT is at 0.01 percent of the price of the trade on non-agricultural commodities future contracts.

53. Under which one of the following Articles is the formation of Finance Commission laid down?

- (a) Article 280
- (b) Article 269

(c) Article 268

(d) Article 265

(e) None of the above / More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

The Finance Commission is constituted by the President under Article 280 of the Constitution at every fifth year or at such earlier time as he considers necessary. It is the duty of the Finance Commission to make recommendations to the President as to :

- (a) the distribution of the net proceeds of taxes to be shared between the Union and the States, and the allocation between the States of the respective shares of such proceeds;
- (b) the principles which should govern the grants-in-aid of the revenues of the States out of the Consolidated Fund of India;
- (c) the measures needed to augment the Consolidated Fund of a State to supplement the resources of the Panchayats and Municipalities in the State on the basis of the recommendation made by the Finance Commission of the State;
- (d) any other matter referred to the commission by the President in the interests of sound finance.

54. What is the share of Bihar in the divisible pool of Central Taxes on the recommendation of the 15th Finance Commission?

- (a) 10.06%
- (b) 11.02%
- (c) 13.02%
- (d) 15.03%
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The share of Bihar in the divisible pool of Central Taxes on the recommendation of the 15th Finance Commission (FC) is 10.06%, which was at 9.67% previously on the basis of 14th FC. Among all the States, Uttar Pradesh's share (17.93%; according to 15th FC) is the largest and Bihar is at second place.

55. Who is the chairman of the 12th Finance Commission?

- (a) Prof. D.T. Lakdawala
- (b) Dr. C. Rangarajan
- (c) Shri Digvijay Singh
- (d) Shri K.C. Pant

45th B.P.S.C. (Pre) 2004

Ans. (b)